

15-5a Increasing Competition with Antitrust Laws

If Coca-Cola and PepsiCo wanted to merge, the deal would be closely examined by the federal government before it went into effect. The lawyers and economists in the Department of Justice might well decide that a merger between these two large soft-drink companies would make the U.S. soft-drink market substantially less competitive and, as a result, would reduce the economic well-being of the country as a whole. If so, the Department of Justice would challenge the merger in court, and if the judge agreed, the two companies would not be allowed to merge. Traditionally, the courts are especially wary of *horizontal mergers*, which are mergers between two firms in the same market, like Coca-Cola and PepsiCo. They are less likely to block *vertical mergers*, which are mergers between firms at different stages of the production process. In other words, if a company wants to merge with one of its competitors, it will face closer scrutiny than if it wants to merge with one of its suppliers.

“But if we do merge with Amalgamated, we’ll have enough resources to fight the antitrust violation caused by the merger.”

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The government derives this power over private industry from the antitrust laws, a group of statutes aimed at curbing monopoly power. The first and most important of these laws was the Sherman Antitrust Act, which Congress passed in 1890 to reduce the market power of the large and powerful “trusts” that were viewed as dominating the economy at the time. The Clayton Antitrust Act, passed in 1914, strengthened the government’s powers and authorized private lawsuits. As the U.S. Supreme Court once put it, the antitrust laws are “a comprehensive charter of economic liberty aimed at preserving free and unfettered competition as the rule of trade.”

The antitrust laws give the government various ways to promote competition. They allow the government to prevent mergers. At times, they allow the government to break up a large company into a group of smaller ones. Finally, the antitrust laws prevent companies from coordinating their activities in ways that make markets less competitive.

Antitrust laws have costs as well as benefits. Sometimes companies merge not to reduce competition but to lower costs through more efficient joint production. These benefits from mergers are sometimes called *synergies*. For example, many U.S. banks have merged in recent years and, by combining operations, have been able to reduce administrative expenses. The airline industry has experienced a similar consolidation. If antitrust laws are to raise social welfare, the government must be able to determine which mergers are desirable and which are not. That is, it must be able to measure and compare the social benefit from synergies with the social costs of reduced competition. Critics of the antitrust laws are skeptical that the government can perform the necessary cost–benefit analysis with sufficient accuracy. In the end, the application of antitrust laws is often controversial, even among the experts.

Chapter 15: Monopoly: 15-5a Increasing Competition with Antitrust Laws

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